

called experts. But even bad advice does not come cheap. We estimated that Dr. South spent over \$35,000 in a single year for advice and trades related to his poorly performing \$200,000 portfolio. What about Dr. North? During the same period he spent zero dollars for transaction fees and zero dollars for financial advice. He is his own financial advisor. He rarely sells stocks. Also, there are no transaction fees for his direct investing in farmland and its products.

Dr. South, in traditional UAW fashion, has been burned by financial advisors. Too often people in his position respond to cold calls from brokers who are touting the stock of the week. Too often Dr. South is late entering the up market and exits it too early. In sharp contrast, most of the PAWs we have interviewed make their own investment decisions. They take the time and energy to study investment opportunities. They consult with financial advisors, but ultimately their investment decisions are their own.

Dr. South has a history of trading rapidly among his brokers' "flavors of the month." He spends many dollars for these trades. If these "flavors" appreciate in value, they precipitate capital gains taxes. On the other hand, when stocks in a pension plan are traded, they are not subject to capital gains taxes. Unfortunately, Dr. South is not a big fan of pension plans. We estimated that he had less than \$40,000 in his plan at the time of our interview with him!

WHO ARE YOUR SUPPLIERS?

How did you hire your household's financial advisor? Did you list the position in the help-wanted section of your local newspaper? Did you evaluate the stacks of resumes your advertisement generated? Or did you ask your accountant, attorney, or minister to help you find a quality advisor? Many people tell us that such methods are just too much work.

This is unfortunate. The more intellect, time, and energy you spend in hiring a financial advisor, the more likely you will be to find a suitable one. Perhaps you're not convinced about the need to exert yourself in this task. Look at it another way.

How much time and effort did it take you to find your most recent employment position? What are the chances that you could call General Motors, IBM, or Microsoft and obtain a job today by phone? What theme would you use?